

8. Identify the one which is the characteristics of formal organization?
A. It is based on well-defined authority ✓
B. It is a social structure formed to meet personal needs ✓
C. Spontaneously formed organization as people associate each other ✓
D. It operates outside of formal authority relationship ✓
E. All of the above
9. Identify the type of power than do not change in change in position
A. Legitimate power ✓
B. Coercive power ✓
C. Reward power ✓
D. Expert power ✓
10. Ato Alemu, the general manager of commercial bank of Ethiopia, decided to terminate some employs as a result of their poor performance. Which type of power the manager exercise?
A. Legitimate power B. Coercive power C. Reward power D. Referent power
11. The first process of delegation of authority is _____
A. Assignment of tasks ✓
B. Acceptance of responsibility
C. Delegation of authority
D. Creation of accountability
12. Which of the following is not true?
A. The low compensation policy does not ultimately save money to the employer ✓
B. Commission is a lump-sum payment offered to sales employees ✓
C. Collective bargaining is a process to reach settlement through dialogue and consensus ✓
D. Promotions based on seniority advance workers who are best qualified for the position ✓
13. Which of the following employee movement provides all rounded advantage to the employee?
A. Demotion ✓
B. Promotion
C. Transfer ✓
D. Resignation ✓
14. Identify the off-the-job HR training and development program
A. Coaching ✓
B. Job rotation
C. Job enlargement ✓
D. Class-room lecture
15. Identify the one which is categorized as indirect financial compensation
A. Bonus ✓
B. Employee Services ✓
C. Commission ✓
D. Work environment
16. Effective employee appraisal can be done by all except;
A. Those who have the opportunity to observe employee's performance ✓
B. Those who have the ability to translate observation into useful assessments ✓
C. Those who have the motivation to provide useful performance evaluations ✓